PAPERBOY

TUESDAY, OCTOBER 13, 2026

Asian memory stocks had their worst day in months - SK hynix fell 10% and the KOSPI 5.46% - on a Chinese DRAM claim, while Broadcom's CEO called parts of the AI trade a casino.

AI

Meta ships its first frontier models, and prices them under the field

WHAT HAPPENED

Meta released **Muse Wonder** and **Muse Wonder Full** on Monday, its first frontier-model launch since Alexandr Wang reorganised the AI effort. Meta's own model card prices Wonder at **$4.00 per million input tokens and $20.00 per million output**, with cached input at $0.20; Wonder Full is not served through the API at all and goes only to Muse Code subscribers. Both were trained at **Prometheus**, the gigawatt-scale Ohio data centre that came online this year, and the pitch is memory: retaining what a user told it across long horizons. Meta's research post calls the pair *“the next step on our scaling ladder and a major leap toward personal superintelligence.”* On the independent Artificial Analysis index they land at 56 (Wonder Full) and 52 (Wonder), against 53 for Claude Fable 5.1 and GPT-6 Astra and 58 for Claude Opus 5.5. (Meta)

WHAT IT MEANS

The price is the news. $4/$20 undercuts the frontier tier while claiming parity on benchmarks, which reads as Meta buying its way back into a conversation it had dropped out of. Note what is not claimed: Meta's own card does not show Wonder beating Fable on the memory benchmark it leads with, and the headline scores sit a clear notch below Opus 5.5.

WATCH NEXT

Whether developers migrate on price, and whether Wonder Full ever gets API access.

Broadcom's CEO says AI investors are in a casino - and names financing, not memory, as the ceiling

WHAT HAPPENED

At an event in Singapore on Monday, Hock Tan said of the AI trade: *“A lot of investors have no clue what they are investing in.”* He described buyers who set *“very extreme expectations only to find out that it's almost like they are in a casino”* - and reaching for a video arcade analogy about $10 of tokens finishing in ten minutes. His substantive point was that access to **financing**, not a memory-chip shortage, is becoming the binding constraint on AI buildout, with Broadcom itself increasingly pulled into funding it. The numbers behind him are real and are Broadcom's own: AI semiconductor revenue of **$16.7bn in fiscal Q3**, up 221% year on year, and guidance for **$21.7bn in fiscal Q4**, up 236%. Tan projected $115bn for FY2027 doubling to **$230bn by FY2028**. (Broadcom Q3)

WHAT IT MEANS

The man selling the shovels telling you the gold rush is a casino is worth more than another bear note, and he put his finger on the actual mechanism. Broadcom's credit rating is already underwriting **$42bn** of the senior tranche in a record **$60bn** package for Anthropic's lease of Google-designed TPUs - a structure reported on 5 October. The chip cycle is becoming a credit cycle.

WATCH NEXT

Whether that $60bn syndication clears, and at what spread.

SEMICONDUCTORS

Seoul's “Black Tuesday”: KOSPI down 5.46%, SK hynix down 10%, foreigners sell $3.4bn

WHAT HAPPENED

A second and far heavier leg down. The **KOSPI closed at 6,035.35, off 348.89 points or 5.46%**, after touching **5,911.11** intraday; the KOSDAQ ended at 837.03, -1.43%. **SK hynix closed at 1,443,000 won, down 10.09%**; **Samsung Electronics at 232,000 won, down 7.39%**. Foreigners sold a net **4.5259 trillion won** (about $3.4bn) of KOSPI shares - **2.3613tn** of SK hynix and **1.3595tn** of Samsung - the heaviest in about two months. A sell-side program trading curb fired at **9:47 a.m.** and the won weakened 10 to **1,345.1**. The named trigger is Chinese memory: CXMT's plan to ship server DRAM on a 4F2 cell structure by year-end. (JoongAng)

WHAT IT MEANS

Monday's fall could be read as profit-taking. A 10% day in SK hynix on a Chinese technical claim cannot. The market is repricing the assumption that the memory duopoly's pricing power survives 2027, and foreign money that drove the 2026 rally is leaving in size.

WATCH NEXT

Whether CXMT confirms a 4F2 shipping date, and SK hynix's Q3 results this month.

Tokyo reopens and splits: Nikkei down 1.8%, TOPIX up - the same day, two different markets

WHAT HAPPENED

Shut Monday for Sports Day, Tokyo got its first chance to price the chip rout. The **Nikkei 225 closed at 67,777.52, down 1,253.40 points or 1.82%** from the 9 October close of 69,030.92. The **TOPIX closed at 4,110.67, up 5.86 points (+0.14%)** - it rose. Prime Market breadth was positive, risers beating fallers better than two to one. The damage was cap-weighted: Kioxia was the worst Nikkei name, Advantest a major drag, Tokyo Electron under heavy pressure, while banks and shipping lifted the broader index. (Xinhua)

WHAT IT MEANS

This is the cleanest illustration yet that what is happening is a de-rating of AI hardware rather than a risk-off move. Japanese banks went up on the same tape that took 10% out of Korean memory. Anyone describing Tuesday as an Asian selloff is reading the Nikkei headline and not the market.

WATCH NEXT

Advantest and Tokyo Electron guidance into late October, and whether the TOPIX holds its split from the Nikkei.

Semtech buys dedicated SiGe capacity at Tower across three countries

WHAT HAPPENED

Announced at 06:00 ET Tuesday: Semtech will **invest to secure dedicated silicon-germanium capacity at Tower Semiconductor's fabs in the United States, Israel and Japan** under an expanded multi-year agreement, extending a 20-year relationship. The capacity backs Semtech's optical-interconnect parts for AI data centres - transimpedance amplifiers, modulator and laser drivers, linear equalizers - at **800G, 1.6T and 3.2T**. Semtech's CEO Hong Hou: *"Connectivity is now a primary factor in how far AI systems can scale."* **No terms, volumes, node or contract length were disclosed** - there is no deal value to quote. (release)

WHAT IT MEANS

Prepaying for analogue capacity is the opposite trade to the one Seoul was unwinding the same morning. Interconnect is the bottleneck nobody discounts, and SiGe capacity is scarce because nobody built it for this.

WATCH NEXT

Semtech's next quarter for any capacity prepayment on the balance sheet.

BUSINESS

A split US tape on Columbus Day: Dow up, Nasdaq down, bond market shut

WHAT HAPPENED

US equities traded through the federal holiday while cash Treasuries stayed shut, and the index split was the story. The **S&P 500 ended at 7,807.24, down 4.30 points (-0.1%)**, still up 14% on the year; the **Dow at 51,850.55, up 195.60 (+0.4%)**; the **Nasdaq composite at 27,245.90, down 120.27 (-0.4%)**; the **Russell 2000 at 2,794.48, -0.4%**. Memory and optics led the decline - Lumentum down about 10%, Sandisk about 6% - while financials firmed ahead of bank results. (AP table)

WHAT IT MEANS

The rotation that showed up in Tokyo on Tuesday had already started in New York on Monday. Banks bid, AI hardware sold - and with no Treasury market open, there was no rates signal to argue with it.

WATCH NEXT

Q3 bank earnings begin this morning, after this brief went out; **CPI lands Wednesday**, PPI Thursday.

Japan's wholesale inflation cools to 6.8% - but import prices are still up a quarter

WHAT HAPPENED

The Bank of Japan's preliminary September reading on prices of goods traded between companies rose **6.8% year on year**, down from **7.6%** in August. The relief is narrow: **import prices rose 24.5%** and **export prices 17.9%**, a yen-and-energy story led by petroleum products, with nonferrous metals and plastics up more than 10%. The print lands with the yen near 158 to the dollar and the policy rate at 1.25%. (Xinhua; figures not confirmed against the BOJ's own release, which was not reachable)

WHAT IT MEANS

A 24.5% import-price rise is not a currency inconvenience, it is an imported inflation problem, and it keeps the case for another hike alive even as the headline decelerates. The BOJ's difficulty is that hiking to defend the yen tightens into a chip-led equity drawdown that started this week.

WATCH NEXT

The BOJ's 30-31 October meeting, and whether 160 to the dollar gets tested first.

A cyberattack cooked the fridges in hundreds of French supermarkets

WHAT HAPPENED

Refrigeration control systems at French grocery chains were attacked from Sunday night, pushing fridge and freezer temperatures as high as **50C (122F)**, spoiling stock and starting fires at several stores. By chain: **Intermarche and Netto, at least 300 shops; Cooperative U, more than 100; Carrefour, 80; Monoprix, about 5% of roughly 490 stores**. Intermarche chain chief Thierry Cotillard called it *“unprecedented”* and put losses at *“tens of millions of euros”* nationwide in a single day. Prime Minister Sebastien Lecornu ordered ANSSI to investigate. **Nobody has claimed responsibility.** The vulnerability is in refrigeration software from Denmark's Danfoss, which said affected units *“were running outdated firmware”*. (Al Jazeera)

WHAT IT MEANS

This is the operational-technology attack everyone has been warning about, executed on the least glamorous target imaginable and costing real money in a day. Claroty published research on Danfoss authentication bypass on 9 August; two months later the patch gap is a national food-safety incident.

WATCH NEXT

ANSSI's attribution, and whether reported spillover into Spain, Portugal, Poland, Germany and Belgium - so far one analyst's claim - is confirmed.

STARTUPS

UK venture funds just had their best fundraising quarter ever - which is not the same as deployment

WHAT HAPPENED

An HSBC Innovation Banking UK and Dealroom analysis out Tuesday says **UK venture firms raised $6.9bn across 31 new funds in Q3**, a record and more than four times the two-year quarterly average. Read the distinction: money *into funds*, not into companies. The same analysis puts **Q3 investment into UK startups at $6.1bn** - late stage $3.5bn (58%), breakout $1.9bn, early stage $740m. Named closes: **Index Ventures, three funds totalling $3.5bn; Highland Europe, EUR1.1bn**. Semiconductors took **$1.6bn for the year, past 2025's full-year record of $1.3bn**. (report, single outlet)

WHAT IT MEANS

Dry powder raised now gets deployed in 2027 and 2028, so this is a forward bet, not a verdict on today. The $740m early-stage figure against $3.5bn late-stage is the uncomfortable number: capital is clustering where the risk already looks priced.

WATCH NEXT

Whether Q4 deployment turns up. Figures are one outlet's rendering of a sponsor report.

A Plaud alumnus raises $26m for an app that listens in the background

WHAT HAPPENED

Ambi, founded by former Plaud executive Peter Mo, has raised **$26m across multiple funding rounds** - cumulative funding, not a round size, and no valuation was disclosed. **Luminous Ventures**, a backer of Meituan and Unitree Robotics, led; ODM **Huaqin** also invested. The product is iPhone, Mac and Watch software that works as a meeting note-taker but can listen continuously if the user opts in; ambient capture is off by default. Headcount is over 50 across San Francisco, Beijing, Shanghai and Shenzhen, and hardware is planned. Mo on the consent problem, which he frames as the industry's: *“We have to inform our users that they have to tell others about ambient capture.”* (TechCrunch)

WHAT IT MEANS

Every always-listening company hits the same wall: the person being recorded did not install the app. Mo naming it rather than burying it in a settings page is honest, but a default-off toggle is not a legal answer in two-party-consent states.

WATCH NEXT

The hardware spec, and the first state attorney-general inquiry into ambient capture.

Two mid-size European and Taiwanese rounds, and one date correction

WHAT HAPPENED

Monday's rounds: **finmid**, a Berlin embedded-finance company that lets marketplaces lend working capital to their business users, raised a **EUR17m Series A extension**, taking cumulative funding to EUR52m, with Big Pi Ventures, Mainset and Earlybird participating - no lead named, no valuation. Customers include Wolt, Delivery Hero and Bolt. And **Konst**, a Taipei AI-compute operator running a GPU cloud, raised a **$30m Series B led by ADATA Technology**. Correction worth making: **TypeSafe AI's $870m Series A at a $7.5bn valuation, led by Andreessen Horowitz, was announced 9 October**, not this week. Its own adoption claim (a third of the Fortune 500) conflicts with a16z's (25%). (finmid)

WHAT IT MEANS

An ADATA-led round into a Taiwanese GPU cloud is the supply chain financing its own customers - Hock Tan's Singapore point, two orders of magnitude smaller.

WATCH NEXT

Whether finmid's extension precedes a priced B, and TypeSafe's first independent adoption number.

US

The government's ads kept running for hours after the judge stopped them, and DOJ blamed an email

WHAT HAPPENED

In *Common Cause v. DHS*, **No. 1:26-cv-08882 (JLR)** in the Southern District of New York, Judge **Jennifer Rochon** entered a **temporary restraining order plus a stay under the Administrative Procedure Act's section 705** on 11 October, emailing it to the parties at **6:46 p.m.** Sunday. Government counsel forwarded it at **7:58 p.m.**; agency counsel says they first saw it Monday morning. In between, per AdImpact data in a filing, **nearly 400 spots aired** at 7 p.m. - **193 of "Final Battle" on 60 Minutes, 198 of "Maduro" on America's Funniest Home Videos**. DOJ's status report: *"The undersigned apologizes to the Court and the plaintiffs."* OMB's **$20m apportionment** is frozen. (Opinion and Order)

WHAT IT MEANS

Plaintiffs pointedly did not move for contempt - they asked for a conference to establish whether the order was obeyed. That is the more dangerous posture, because it builds a record. Rochon found them likely to succeed on the merits, so the section 705 stay is doing real work.

WATCH NEXT

Whether the 13 October conference happens at all - the court said it did not require it - and whether this converts to a preliminary injunction.

The Catholic hierarchy tells Catholic soldiers not to join the firing squad

WHAT HAPPENED

Nidal Hasan, 56, is to be executed by firing squad on **3 December** for the 2009 Fort Hood attack that killed 13, military members carrying it out at the site and hour of the shooting itself. On Monday Archbishop **Timothy Broglio** said he *"oblige[s] any Catholics assigned to the firing squad to request to be excused,"* asking whether the US wants to *"imitate the terrorists of this world and make a public spectacle of barbarically killing our adversaries."* Cardinal **Blase Cupich** of Chicago posted that *"capital punishment is unacceptable in any case."* Pope Leo, on Saturday, called the death penalty *"inadmissible."* (Al Jazeera, single outlet)

WHAT IT MEANS

A pastoral instruction, not a legal bar, and no court order halting the execution has been located. But it opens a conscientious-objection route inside the chain of command - a practical problem for whoever staffs the detail.

WATCH NEXT

Whether any assigned service member requests excusal, and the Senate fight over televising it.

Trump asks the Supreme Court to revive his suit against Hillary Clinton

WHAT HAPPENED

Filed Friday 9 October and reported over the weekend: Trump, through lawyer Richard Klugh, petitioned for certiorari in *Trump v. Clinton*, seeking to revive the March 2022 suit over *"fabricated accusations of Russian collusion."* Judge **Donald Middlebrooks** dismissed it as untimely, found many statements *"plainly protected by the First Amendment,"* and ordered Trump and attorney Alina Habba to pay **nearly $1m in sanctions**; the Eleventh Circuit affirmed, calling the claims *"untimely and otherwise meritless."* **This is a petition, not a grant.** (SCOTUSblog)

WHAT IT MEANS

The live question is the sanctions, not the conspiracy claim. A cert grant on whether courts may sanction a sitting president's lawyers would matter well beyond this case; a denial costs Trump a million dollars and a news cycle.

WATCH NEXT

Clinton's response, due 30 days after docketing; Court action is expected this winter.

WORLD POLITICS

An “energy ceasefire” nobody has signed: Trump says it holds, Kyiv counts six strikes, Lavrov rejects it

WHAT HAPPENED

Asked whether Russia and Ukraine had agreed to stop hitting energy infrastructure, Trump said *"well, they agreed,"* and of the strikes since: *"there's been violations on both sides."* Zelensky said Russian forces had struck **at least six Ukrainian energy facilities**: *"Today alone, the Russians have attacked 6 energy facilities in Ukraine. 33 people were wounded across the country"* - Ukraine's own count, for one day. Russian Foreign Minister **Sergey Lavrov** rejected any pause: *"I do not think he deserves a respite."* (Al Jazeera)

WHAT IT MEANS

There is no instrument. One president describes an agreement, the other side's foreign minister refuses one, and Kyiv offers guarantees nobody has drafted. Call it a claimed understanding; the Kremlin has still not acknowledged a ceasefire in any form.

WATCH NEXT

Any Kremlin statement, the end-of-October trilateral talks, and whether strikes stop. Sources differ on whether Trump's announcement was 11 or 12 October.

The EU adopts its largest-ever single batch of Russia listings - 1,569 of them

WHAT HAPPENED

At the Foreign Affairs Council in Luxembourg on Monday the EU **adopted** - not merely agreed - **1,569 new listings: 826 Russian companies and 743 individuals**, the chief executives of those companies, with the legal acts **published in the Official Journal the same day**. Targets are shipyards, aviation and electronics makers, vehicle repair facilities and aerospace firms. High Representative **Kaja Kallas** said *"over half address the production chain for the ballistic missiles Russia uses to kill Ukrainian civilians every day."* A separate 77 listings cover the illegal State Duma "elections" in occupied territories - hence the 1,646 in some coverage. The list now runs to close to **4,600**. The **22nd sanctions package was not adopted**. (Council)

WHAT IT MEANS

The novelty is the criterion, not the count: listing a company's chief executive automatically alongside the company, on the basis of state subsidies plus designation as part of the military-industrial complex, makes expansion mechanical rather than negotiated.

WATCH NEXT

The European Council on 15-16 October, and when the 22nd package lands.

Britain blames the IRGC for the RAF Fairford plot and sanctions two Iranians - with nobody charged

WHAT HAPPENED

The UK moved formally against Iran on Monday over the suspected plot on **RAF Fairford**, used by US bombers. Prime Minister **Andy Burnham** told parliament it was *"almost certainly"* directed by the Revolutionary Guard: *"We will not tolerate these threats on our soil."* Foreign Secretary **Ed Miliband** sanctioned two Iranians - **Ruhollah Bazghandi**, head of IRGC counterespionage operations, and **Shahram Ali Reza Tamarzadeh Jakki**, a claimed facilitator for the Zindashti criminal network - with asset freezes and travel bans. Iran's ambassador, summoned on Monday, *"categorically rejected"* any role. The legal stage matters: **five British men arrested on 27 September were released on bail without charge**, petrol found in three vans but no explosives. (Al Jazeera)

WHAT IT MEANS

Sanctions are what a government reaches for when it believes something it cannot prove to a criminal standard. A joint foreign ministers' statement on gov.uk suggests allied agreement; it is still an allegation, not a court finding.

WATCH NEXT

Whether anyone is charged, and whether the IRGC is proscribed outright.

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TechCrunch - Former Plaud exec raises $26m for Ambi

FinSMEs - finmid raises EUR17m Series A extension

FinSMEs - Konst raises $30m Series B

Common Cause v. DHS - Opinion and Order, 12 October

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Al Jazeera - US archbishop on the firing squad

SCOTUSblog - Trump asks justices to revive Clinton suit

Al Jazeera - Trump insists energy ceasefire holds

Council of the EU - largest-ever package of Russia listings

Al Jazeera - UK blames Iran for airbase plot

Kyiv Independent - EU votes through largest-ever Russia sanctions list